

Definition and Purpose of an Appraisal

When an appraisal is to be performed to determine the appraised value for a mortgage loan, an impartial third party appraisal is ordered by the lender. Buyers, sellers, and lenders can also hire an appraiser to perform a property appraisal. Buyers may do so if they're purchasing a property and a lender isn't involved. Sellers may pay for an appraisal to help determine a price when listing a property for sale. Lenders may hire an appraiser to value a property that they hold in their own real estate portfolio. Appraisers hired directly by the buyer, seller, or lender are not acceptable for mortgage loan purposes due to anti-mortgage fraud regulations. While lenders are usually responsible for obtaining an appraisal in a transaction, they must go through an objective third party or they are setting themselves up for a fraud lawsuit.

Appraisers vs. Licensees: the Approach to Value

Real estate licensees are responsible for helping buyers determine how much to pay for a property or for helping sellers determine the list price for their property. Licensees usually do this through a comparative (aka competitive) market analysis, or CMA process, which is much less sophisticated than an appraisal. While the CMA and an appraisal both use recent comparable sales, the appraisal doesn't rely exclusively on those sales. Appraisers must follow a specific set of criteria that is somewhat dependent on the loan type and also uses their own best judgment in determining a property's value.

Why Do an Appraisal?

Usually, an appraisal is performed to determine value for underwriting a mortgage loan. But sometimes it's to price a property or to figure the worth for a charitable donation or for an estate.

An appraisal is an unbiased opinion of the property's value because the appraiser has no "horse in the race." The appraiser used for a mortgage loan isn't handpicked by anyone. It's a random selection, often not even by the lender but by a company hired by the lender, to preclude the possibility of the appraiser and seller or broker or any other party colluding to artificially inflate the appraised value. Only certified appraisers may evaluate properties for mortgage loan underwriting.

Appraisal vs. CMA: How Value Is Determined

So, what certified appraisers do is perform an appraisal, also called a formal appraisal or a valuation. An appraisal is the opinion or estimate of value of a particular property as of a particular date. Market value is part of the equation-part of what the appraiser is trying to determine. However, it's more complex than that. In addition to using age, square footage, location, and recent sales-all the things agents use to prepare a CMA-appraisers also consider the cost to replace the property. Market value isn't as important to lenders as replacement cost is.

Lenders want to know an impartial value to determine an acceptable loan amount. Can they safely lend on it? And, if they do lend on it at the agreed-upon sales price, and the buyer defaults on the mortgage, will they lose their shirt?

By contrast, a CMA or a broker's price opinion (BPO), which we'll discuss later, is more informal. Licensees may not use the term "appraisal" to mean the CMA or BPO process, and real estate licensees cannot perform formal appraisals (unless they're also licensed as appraisers).

What's Market Value?

Market value (aka fair market value) is the estimated amount (someone's opinion) of what the property would sell for, taking into consideration its value. This is basically what your seller, or anyone else, thinks it's "worth," and it varies greatly because a valuable feature to one person might not be valuable to another. Market price is related, but a little different. Market price is the amount that a buyer paid and what the seller accepted for a property. You estimate the market value in order to hopefully set the right market price to list a property. Sellers might be disappointed because, for one reason or another, the market price they're able to get for their property might be below what they think the market value should be.

When looking at fair market value, it's implied that both parties would be acting in their own interests in an effort to get the best sales or purchase price possible and would be acting without duress, under normal market conditions. Market value also assumes that the property had decent exposure to the open market. Appraisers determine market value as of a specific date. An appraisal today can and likely will be different than an appraisal in six months. The appraiser's valuation will also consider cash equivalency-meaning the buyer is not trading a boat for a house. He's either paying cash or getting typical financing.

Other Types of Value

There are multiple ways to determine value, depending on the circumstances. Sometimes a buyer will want to know the investment value-can he get the rate of return he expects? An insurance company will want to know the insured value-if the house goes up in flames, what will be the cost of replacing or rebuilding it? A thing is only worth what it's worth to someone else.

So, value in use is what a property is worth to the person using it. Let's say you have a family estate that has a lot of history behind it. Its value in use will be higher to members of that family than it might be to a typical buyer.

Then there's assessed value-the value placed on a property by local taxing authorities. Typically, that's 80% to 90% of the market value. The tax jurisdiction then uses that assessed value to calculate the property taxes. Property is usually assessed on a regular basis (e.g., every two years) to ensure that the values used are current. Appraisers look at assessed value, but it doesn't play a big part in the appraisal process.

A Definitive Number

A final difference between a CMA and a formal appraisal is that a licensee typically provides a range of value to a buyer or seller. Appraisers must zero in on a single value.

And keep in mind that there is a difference between valuation and evaluation. An evaluation doesn't even need a value at the end. It might be just a marketability study or a land use study.